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The second face of hegemony: Britain's repeal of the Corn Laws and the American Walker Tariff of 1846

Scott C. James and David A. Lake

Passage of the Walker Tariff in 1846 was a significant event in antebellum U.S. trade policy. Drawn up by the administration of James K. Polk and navigated through Congress by Democratic majorities, the new legislation was designed to lower tariffs and open domestic markets, particularly to British manufactured goods. Of greater significance, the Walker Tariff was the political child of a coalition of Southern planters and Western grain growers, a coalition—long sought, yet hitherto elusive—committed to the promotion of export agriculture. The Walker Tariff reversed the protectionist principles embodied in the “black tariff” of 1842 and inaugurated a decade and a half of freer trade, a period that also witnessed the conclusion of the Canadian Reciprocity Treaty of 1854 and the further liberalization of the tariff in 1857. This “triumph of free trade principles”¹ was reversed only with the passage of the Morrill Tariff in 1861 and the advent of civil war.

There was little doubt about where the great Northern and Southern sections of the country stood on the tariff issue in the 1840s. Poised in a tense political balance, each articulated an alternative vision of America's economic development. The future of American trade policy, as it had for decades, turned on the preferences of Western farming interests. The North, advocating protection for its rapidly expanding urban-industrial markets, sought to convince grain growers in the West that an essentially autarkic trade policy would best provide a large and dynamic market for their produce.

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1. Quote by the Columbus *Ohio Statesman*, 7 August 1846. Cited in Joel Silbey, *The Transformation of American Politics, 1840–1860* (Englewood Cliffs, N.J.: Prentice-Hall, 1967), p. 98.

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The South, on the other hand, argued for free trade, integration into the international division of labor, and the production of foodstuffs and raw materials for world markets. Logically, both were feasible directions for Western farmers to pursue. Their choice was contingent upon the openness of international grain markets.

The Walker Tariff was a significant event in the foreign economic policy of Britain as well. British officials watched closely the events transpiring in the U.S. Congress and were in a position to influence the proceedings through their own policy actions. Indeed, political entrepreneurs on both sides of the Atlantic recognized that abolishing the Corn Laws was the single most effective means for influencing the trade policy interests of the West, the pivotal region in the formulation of American trade policy. By repealing the Corn Laws in 1846 and allowing access to its lucrative grain market, Britain fundamentally altered the economic and political incentives of Western agriculturalists and facilitated the emergence of the free trade coalition essential to the passage of the Walker Tariff. Thus, by unilaterally lowering tariffs, Britain succeeded in laying the basis for and constructing a liberal international economic order.

In developing this argument, we invite readers to consider the repeal of the Corn Laws, typically explained as the outcome of a struggle between industrial and agricultural interests in Britain, through a different lens—that of hegemonic leadership. Historical evidence suggests that the international ramifications of repeal were well understood in Britain and were used in important ways during the debates to sway public and political opinion. While this does not provide a sufficient explanation for the abolition of the Corn Laws, it nonetheless suggests that Britain was pursuing a strategy of leadership and openness within the international economy.

Thus, this article seeks not only to understand antebellum tariff policy in the United States but also to contribute to the ongoing debate on the strategies undertaken by hegemonic leaders in the pursuit of international free trade. We posit three “faces” of hegemony characterized by distinct instruments and targets of hegemonic influence. Conceptualizing hegemony as possessing three different faces allows us to organize contemporary studies on hegemonic process in a manner that highlights what we believe to be an important theoretical gap in the existing literature. We argue, moreover, that the second face is inadequately understood and central to the case of the Walker Tariff of 1846.

This article is divided into six major sections. The first develops the three faces of hegemony. The second surveys the trajectory of American tariff policy in the period 1824–61 in order to place the Walker Tariff in historical perspective. The third discusses the regional cleavages that exerted such an important effect on antebellum tariff policy. The fourth examines the repeal of the Corn Laws, and the fifth examines the tactical issue of the “Oregon question.” Finally, the sixth surveys the actual passage of the Walker Tariff

and contrasts our explanation with others that focus on partisanship as the motive or force behind liberalization. The conclusion summarizes the issues raised in this article and suggests the broader applicability of the analysis.

Three faces of hegemony

How do hegemonic leaders construct and maintain a liberal and open international economy? Or, to phrase this question in a slightly different way, what do hegemonic leaders do when they are being hegemonic? This question of hegemonic process has confounded hegemonic stability theorists. While the theory posits a link between hegemony and openness and while periods of international free trade during the last two centuries have tended to coincide with the existence of a single dominant nation-state,² scholars have uncovered relatively little evidence of hegemonic activity in pursuit of this goal. In the absence of such evidence, the link between hegemony and openness lacks plausibility; a correlation may exist, but scholars justifiably doubt that a causal connection follows. We argue, however, that hegemonic leaders do pursue policies designed, at least in part, to construct an open and liberal international economy but that these policies are often of a more subtle and indirect nature than commonly presumed.

At the broadest level, two kinds of processes can be distinguished: one associated with a benevolent model and the other with a coercive model of hegemony.³ As developed by Charles Kindleberger, benevolent hegemony focuses on providing certain collective goods necessary for a stable and liberal international economy.⁴ In this view, the hegemon unilaterally provides the basic infrastructure of the international economy by allowing its currency to become the principal reserve asset, providing sufficient liquidity for the growth of international trade, financing the expansion of trade and long-term economic development, and ensuring freedom of transit. While evidence on the provision of collective goods by hegemonic leaders has not been drawn together in any consistent manner, and scholars clearly disagree on the conscious motivations of the hegemon, the theory of collective goods and anecdotal evidence lend considerable support to this approach.⁵

2. See Stephen D. Krasner, "State Power and the Structure of International Trade," *World Politics* 28 (April 1976), pp. 317–47.

3. Duncan Snidal, "The Limits of Hegemonic Stability Theory," *International Organization* 39 (Autumn 1985), pp. 579–614.

4. See Charles Kindleberger, *The World in Depression, 1929–1939* (Berkeley: University of California Press, 1973); and "Dominance and Leadership in the International Economy: Exploitation, Public Goods, and Free Rides," *International Studies Quarterly* 25 (June 1981), pp. 242–54.

5. See Mancur Olson and Richard Zeckhauser, "An Economic Theory of Alliances," *Review of Economics and Statistics* 58 (August 1966), pp. 266–79. For a skeptical view, see John A. C. Conybeare, "Public Goods, Prisoners' Dilemmas, and the International Political Economy," *International Studies Quarterly* 28 (March 1984), pp. 5–22.

Whereas benevolent hegemony assumes that states share similar free trade preferences and are stymied only by a collective action dilemma, coercive hegemony posits states with different and often conflicting commercial interests. In this view, constructing and maintaining a free trade regime requires that the hegemon actively manipulate the policies of other nation-states. This is in many ways a more difficult theoretical problem than that posed by benevolent hegemony, and consequently, it will be the focus of our attention here.

It is possible to identify three complementary and mutually reinforcing processes or “faces” of coercive hegemony.⁶ The first face of hegemony is characterized by the use of positive and negative sanctions aimed directly at foreign governments in an attempt to influence their choice of policies. Through inducements or threats, the hegemon seeks to alter the international costs and benefits of particular state actions. Economic sanctions, foreign aid, and military support (or lack thereof) exemplify the strategic use of direct and overt international power that is central to this first face.

In the second face, the hegemon uses its international market power, or its ability to influence the price of specific goods, to alter the incentives and political influence of societal actors in foreign countries. These individuals, firms, sectors, or regions then exert pressure upon their governments for alternative policies, which (if the hegemon has used its market power correctly) will be more consistent with the interests of the dominant international power. This is a “Trojan horse” strategy in which the hegemon changes the constellation of interests and political power within other countries in ways more favorable to its own interests.

The third face focuses on the hegemon’s use of ideas and ideology to structure public opinion and the political agenda in other countries so as to determine what are legitimate and illegitimate policies and forms of political behavior. In other words, the hegemon uses propaganda, in the broadest sense of the word, to influence the climate of opinion in foreign countries.

These are, of course, ideal types, and the distinction between the “faces” tends to break down at the margin. Economic sanctions, for instance, depend upon market power for their effectiveness. The market success of the hegemon will increase its power within the second face, but it will also lend justification and support to its propaganda efforts. Nonetheless, as ideal types, each face of hegemony is characterized by distinct instruments (positive and negative sanctions, market power, and propaganda) and by distinct targets (foreign governments, factorial or sectoral actors, and the climate of

6. Our discussion of the three faces of hegemony is inspired by but does not necessarily follow the literature on the three faces of power. See E. E. Schattschneider, *The Semi-Sovereign People: A Realist's View of Democracy in America* (New York: Holt, Rinehart & Winston, 1960); Peter Bachrach and Morton S. Baratz, “The Two Faces of Power,” *American Political Science Review* 56 (December 1962), pp. 947–52; Matthew A. Crensen, *The Un-Politics of Air Pollution: A Study of Non-Decisionmaking in the Cities* (Baltimore: Johns Hopkins Press, 1971); and Steven Lukes, *Power: A Radical View* (London: Macmillan, 1977).

foreign opinion). Of the three faces of hegemony, the second is the most theoretically promising and least studied.

The first face of hegemony has received the most scholarly attention and the least empirical support. In surveying British trade policy in the mid-nineteenth century, both Timothy McKeown and Arthur Stein find little evidence that the United Kingdom linked free trade to other issues or used its dominant position to coerce other states.⁷ Britain's acquiescence in the military excursions of Napoleon III into northern Italy in exchange for a policy of French free trade, a bargain underlying the important Cobden-Chevalier Treaty of 1860, is the one exception to this generalization.⁸ In its relations with the German Zollverein and the United States, Britain does not appear to have used similar coercion. By 1870, moreover, Great Britain had clearly turned away from Europe and the United States to focus its trade energies on its own empire and other areas of the developing world where its political and economic supremacy were more secure.⁹

There is good reason to suspect the importance of this first face of hegemony. Trade policy creates real economic and political benefits within a society. If tariffs are adopted for reasons related to infant industries, the balance of trade, or the terms of trade, they can improve national welfare.¹⁰ Trade restrictions also provide rents for specific groups or sectors in an economy, thereby creating vested interests in a continued policy of protection.¹¹ If a policy of free trade is imposed upon a protectionist country, either national welfare will be reduced or specific producers will be damaged; in both cases, the regime or government in power will receive less political support than before. In order for a protectionist country to rationally adopt free trade, the threat or benefit offered by the hegemonic leader must be greater than the political and economic costs of removing protection. In any given instance, the resources consumed by the hegemon in this exercise of power are likely to be substantial. When summed across all countries, it is not likely that the gain to the hegemon from universal free trade will be

7. Timothy McKeown, "Hegemonic Stability Theory and 19th Century Tariff Levels in Europe," *International Organization* 37 (Winter 1983), pp. 73–91; and Arthur Stein, "The Hegemon's Dilemma: Great Britain, the United States, and the International Economic Order," *International Organization* 38 (Spring 1984), pp. 355–86.

8. See A. A. Iliasu, "The Cobden-Chevalier Commercial Treaty of 1860," *Historical Journal* 14 (March 1971), pp. 67–98.

9. See E. J. Hobsbawm, *Industry and Empire: The Making of Modern English Society*, vol. 2, *1750 to the Present* (New York: Pantheon, 1968), pp. 110–26.

10. See David A. Lake, *Power, Protection, and Free Trade: International Sources of U.S. Commercial Strategy, 1887–1939* (Ithaca, N.Y.: Cornell University Press, 1988), pp. 24–29 and 40–44.

11. This is the central insight of endogenous tariff theory. See Richard E. Caves, "Economic Models of Political Choice: Canada's Tariff Structure," *Canadian Journal of Economics* 9 (May 1976), pp. 278–300; Bennett D. Baack and Edward John Ray, "The Political Economy of Tariff Policy: A Case Study of the United States," *Explorations in Economic History* 20 (January 1983), pp. 73–93; and Real P. Laverne, *The Political Economy of U.S. Tariffs* (New York: Academic Press, 1983).

worth the effort. As a result, we should not expect to find overt uses of power central to the free trade strategies of hegemonic leaders.

The third face of hegemony draws a parallel with Antonio Gramsci's conception of domestic class hegemony.¹² Because it controls the ideological instruments of power, the hegemon can control the political agenda and can structure the way in which policy options are understood in other states so as to reproduce its own dominance. Definitional and operational considerations aside, the conception of *process* central to this third face of hegemony remains amorphous. Exactly how the hegemon controls the agenda and structures policy preferences is left unspecified or, in some cases, accounted for by a (sophisticated but nonetheless) nonfalsifiable conspiracy argument. The difficulty, of course, lies not only in demonstrating that the hegemon controls the ideological instruments of domination but also in establishing the relevant counterfactuals, or the terms of political discourse and likely policy preferences that would exist in the absence of hegemony. To date, studies beginning with the third face of hegemony have not been especially fruitful; scholars have been thwarted by the theoretical difficulties inherent in the approach.

In the second face of hegemony, the focus of our attention here, the dominant power exerts influence over other states in ways that are both more subtle and indirect than in the first face and more concrete than in the third. In practice, this hegemonic process comprises three steps. In the first, a policy choice is made by the hegemon, and this in turn alters the structure of opportunities—reflected in relative prices—found in the broader material environment. Second, as a consequence of this modification of incentives, individual interests in other countries are reconstituted, as is the likelihood of a given individual acting on any particular opportunity in the new distribution. Third, these reformulated interests condition the salience and public support of the various policy alternatives which succeed in finding a place on the political agenda and which in turn mobilize activists whose ideological and substantive orientations shape the activities of the political stratum that subsequently coalesces.¹³

The exercise of market power by the hegemonic leader will occur primarily through changes in its own trade policy. Because it dominates international

12. See Robert W. Cox, "Social Forces, States and World Orders: Beyond International Relations Theory," *Millennium: Journal of International Studies* 10 (Summer 1981), pp. 126–55; Stephen Gill, "Hegemony, Consensus, and Trilateralism," *Review of International Studies* 12 (July 1986), pp. 205–21; Stephen Gill, "American Hegemony: Its Limits and Prospects in the Reagan Era," *Millennium: Journal of International Studies* 15 (Winter 1986) pp. 311–36; and Alan Cafruny, "Salvaging the Theory of Hegemonic Stability," unpublished manuscript.

13. In this context, E. E. Schattschneider's often-cited observation about the second face of power retains its full force: "All forms of political organization have a bias in favor of the exploitation of some kinds of conflict and the suppression of others because *organization is the mobilization of bias*. Some issues are organized into politics while others are organized out." *The Semi-Sovereign People*, p. 71.

trade, a defining characteristic of hegemony,¹⁴ alterations in the trade policy of the hegemon will have a significant effect on factor returns (such as capital, labor, and land) and sector returns (such as textiles, meat products, and steel) in other countries. These returns then define factor or sector trade policy interests. If the hegemon reduces tariffs on cotton, for instance, it will increase imports of cotton and will enlarge exports from and profits in the cotton-growing sectors of other countries. This has two complementary effects.

First, as their fortunes expand and become more dependent on the hegemonic leader, the cotton producers will increasingly favor policies of free trade at home and will lobby their governments accordingly. The Stolper-Samuelson theorem clearly demonstrates that the scarce factor of production (or sectors that use this factor intensively) will benefit from protection.¹⁵ However, abundant factors of production (or factor-intensive sectors), such as cotton growers in nineteenth-century America, may benefit from protection *on goods other than their own* if the domestic stimulus to cotton consumption created by expanded production of scarce-factor goods (textiles) is larger than the expected growth of cotton exports, which in turn is determined by the trade policies of other countries. When world markets are closed to the export of abundant factor goods, which (as we shall see shortly) was the case for American grain producers but not for cotton growers prior to 1846, protection will be favored and will provide the basis for a cross-factor coalition supportive of protection as a means of domestic demand stimulus. When world markets open for abundant-factor exports, the traditional Stolper-Samuelson result follows. Thus, the basis for a cross-factor protectionist coalition disappears, and the abundant factor will support a policy of free trade.¹⁶

Second, and in a longer term process, the returns to factors and sectors also influence the pattern of specialization in the international economy and the balance of political power within individual countries, thereby creating and solidifying domestic forces favoring specific national trade policies. As the hegemon reduces tariffs on cotton, to continue the example, resources will reallocate into cotton production and the political power of the cotton growers will expand. All other things held constant, trade policy in the cotton-producing states should shift over time towards greater free trade. Increasing the tariff on cotton will have the opposite effect.

Trade policies always have this impact on foreign trade partners; in this sense, there is nothing uniquely hegemonic about the second face. Yet the foreign factoral or sectoral implications of hegemonic trade policy choices

14. See Lake, *Power, Protection, and Free Trade*, pp. 29–33.

15. For a political application of this theorem, see Ronald Rogowski, *Trade and Political Cleavages* (Princeton, N.J.: Princeton University Press, forthcoming).

16. The same result follows from a specific factors model of trade policymaking. Among others, see Baack and Ray, "The Political Economy of Tariff Policy."

derive their importance here from the disproportionate influence of the hegemon over international trade and, in turn, the possibilities this creates for the manipulation of trade policy preferences and the balance of political power in other countries. In other words, while the basic strategy is not unique, the dominant position of the hegemon within the international trading order creates unparalleled influence on the trade policies of others. Despite this preponderant position, however, the hegemonic leader will lower its tariff on the products of factors or sectors whose interests are torn between free trade and protection and which are pivotal in the balance of political power within other countries. In this way, alterations in the hegemon's trade policy have the greatest impact and are most likely to shift the balance of political power in favor of the other country's free trade coalition.

From the hegemon's perspective, the beauty of the second face lies in its subtlety; its aims are realized through the "invisible hand" of international market power. Once set in motion by its own policy initiatives, say by lowering tariffs, the process is automatic and hidden from view by the veil of market forces. The exercise of power, however, is nonetheless real. The second face, where effective, vitiates any need for the kinds of tactical linkages characteristic of the first face. In the example of the cotton producers above, the hegemon does not need to link its tariff reductions on cotton to reciprocal reductions in the tariffs of cotton-producing states. Even though the foreign government might perceive free riding to be in the national trade interest—in this case, accepting the hegemon's reduction while maintaining its existing structure of protection—the foreign government is placed under pressure from its *own* cotton producers to liberalize the economy. That is to say, their interests as *producers* satisfied, the policy goals of cotton producers will shift to the realization of their interests as *consumers*. Assuming rational behavior and a goal of income maximization, cotton producers will turn their political energy towards the liberalization of the domestic market as a means to obtain consumption and investment goods at their lowest possible cost. In the second face, therefore, the constellation of supposedly "domestic" interests and influence is the instrument of the hegemon's success.

The invisible hand of international market power, moreover, need not be exercised consciously by the hegemon. The second face does not require that the hegemonic leader be aware of its own motivations. The invisible hand is set in motion by a policy change in the hegemon, a policy that could be taken for entirely domestic or nonstrategic reasons. Once initiated, however, the effects of the invisible hand on the trade policy interests of foreign producers are identical, regardless of the hegemon's original intent. While self-awareness of the hegemon is not required for our argument on the importance of the second face of hegemony, we suggest below that Britain was in fact cognizant of the international process described here and that the traditional historiography on the repeal of the Corn Laws is not inconsistent with our analysis.

Finally, we do not mean to argue that the “second face” is the only means by which hegemonic leaders seek to construct or maintain a liberal international economy. As noted above, the three faces of hegemony are entirely complementary. We maintain, however, that the second face of hegemony is an important and heretofore unstudied process. By focusing on the second face, we hope to deepen our understanding of how hegemonic leaders build free trade regimes.

Trajectory of American tariff policy, 1824–61

The Walker Tariff of 1846 marked the beginning of fifteen years of comparatively open and liberal trade in the United States. Such constancy in American trade policy stands in marked contrast to the politically tenuous outcomes that had characterized tariff battles in preceding decades. After the imposition of the Walker Tariff, trade policy was remarkably insulated from change, with the exception of further liberalizing measures such as the Reciprocity Treaty with Canada in 1854 and the downward revision of the tariff in 1857. Protection as a politically feasible alternative had been displaced from the nation’s political agenda. An era based on free trade principles had been secured.

Surveying the trajectory of antebellum tariff policy between 1824 and 1861 helps accentuate the important shift in the political underpinnings of American trade policy wrought by the Walker Tariff. For heuristic purposes, four periods can be identified. Briefly, the years 1824–33 were characterized by increasing protection; 1833–42 saw an era of tariff liberalization build upon a tense and politically unstable sectional compromise; 1842–46 witnessed a brief but decided return to protection; and finally, 1846–61 marked the political triumph of free trade principles.

Tariff policy between 1824 and 1832, indeed since 1816, was a continuous movement towards greater protection. The tariff of 1824 raised duties on such items as iron, lead, cotton and woolen goods, raw wool, and hemp.¹⁷ Indeed, “a whole range of agricultural products were included for the first time” in the new tariff.¹⁸ The new schedules on imports were intended to aid the development of the manufacturing sector and, through its expansion, the development of the home market. The 1828 revision reinforced the thrust of the previous tariff, including the trend towards higher duties for primary products.

At first glance, the tariff of 1832 would seem to have constituted a setback for protection. Several of the schedules were rolled back. Rates on pig iron and bar iron were reduced, as were duties on raw wool and woolen goods.

17. Percy Ashley, *Modern Tariff History: Germany, the United States and France*, 3d ed. (London: John Murray, 1920), p. 147.

18. Jonathan J. Pincus, *Pressure Groups and Politics in Antebellum Tariffs* (New York: Columbia University Press, 1977), p. 64.

The number of articles on the free list increased from 49 to 180.¹⁹ Protectionist strategy, however, was to restructure the existing tariff as a means of garnering support for the permanent retention of the remaining duties. The intent of the new legislation was plainly transparent, however, and the prospect of permanent protection “drove the South into open revolt,” culminating in the Nullification Crisis of 1832, which was the first major secession crisis of the pre-Civil War period.²⁰

The compromise tariff negotiated the following year was a “temporary political expedient,”²¹ with the Congress “sensing imminent civil war.”²² Acquiescing in Southern demands for drastic tariff reductions while phasing in the new rate structure over a ten-year period, the 1833 compromise was designed to displace sectional conflict into the future. Specifically, a flat rate of 20 percent on all duties was to be set in place by 1 July 1842.²³ Implementation of the new rate structure was achieved via biennial reductions of one-tenth on all duties over 20 percent through the year 1840, with two sharp reductions, each one representing one-half of the remaining 60 percent excess, occurring in the first six months of 1842. The tariff struggle was set to resume as soon as the full force of the reductions began to make themselves felt.

With the subsequent passage of the 1842 “black tariff,” trade policy, in a pendular motion, swung back towards high protection. The average duty under the 1842 bill was only about 30 percent, but duties on manufactures were set markedly higher. Rates on pig iron, shaped iron products, and cotton shirting skyrocketed to 72 percent, 163 percent, and 95 percent, respectively.²⁴

Strikingly, this time around, protection lasted a short four years. The ensuing Walker Tariff of 1846 lowered tariffs substantially, establishing duties of 30 percent *ad valorem* on iron, metals, metal products, wool, woolens, and leather, glass, and wood products, and 25 percent on cottons.²⁵ While overall rates of duty under the Walker Tariff were slightly higher than those obtained in the last months of the compromise tariff, they were substantially lower than those in the “black tariff.” More importantly—and uniquely—the new rates legislated by the Walker Tariff were insulated from protectionist tamperings by the support of durable political majorities in Congress, remaining essentially unchanged until 1857, when duties were lowered once again.

19. Ashley, *Modern Tariff History*, p. 155.

20. *Ibid.*, p. 156.

21. *Ibid.*, p. 159.

22. John Mayfield, *The New Nation, 1800–1845* (New York: Hill & Wang, 1982), p. 196.

23. Frank W. Taussig, *Tariff History of the United States* (New York: G.P. Putnam's Sons, 1910), pp. 110–11.

24. Philip Shriver Klein, *President James Buchanan: A Biography* (University Park: Pennsylvania State University Press, 1962), p. 172.

25. Taussig, *Tariff History*, p. 114.

The impact of the new tariff on trade patterns was immediate. Indeed, the subsequent level of import penetration was quite dramatic. British imports to the United States rose from 6.8 million pounds by volume in 1846 to 11 million pounds in 1847.²⁶ Between 1846 and 1857, the total volume of imports tripled.²⁷ Over half of the gold produced in the United States between 1848 and 1857—valued at \$505 million—was exported to make up for the resulting balance-of-payments deficits. Finally, tariff revenues, even at reduced rates, increased from approximately \$27.5 million in 1842 to \$64 million in 1856.²⁸

Further testifying to the new era of trade liberalization was the enactment of the Canadian Reciprocity Treaty, America's "first real experiment with reciprocity,"²⁹ which was concluded between the United States and Great Britain in 1854. The treaty established guidelines for free trade in numerous raw materials and agricultural items, granting the President the authority, upon evidence that items enumerated in the treaty were to be allowed entry to Canadian markets free of duty, to respond in kind.³⁰ Finally, the tariff reductions of 1857 reaffirmed the movement towards freer trade, producing the lowest average duties since 1815. Articles assessed at 30 and 25 percent were reduced to 24 and 19 percent, respectively; rates that had been 20, 15, 10, and 5 percent were revised downward to 15, 12, 8, and 4 percent.³¹

Also revealing are statistics concerning transport for the years spanning from 1840 to 1860. During this period, the net tonnage of U.S. shipping engaged in foreign trade increased from just under 900,000 tons to greater than 2.5 million tons.³² Helping to make this increased volume of foreign trade possible, the number of miles of railway in the United States increased from 2,818 to 30,635.³³ In 1846, a more open American commercial policy was effectively inaugurated.

Regional politics and tariffs in Jacksonian America

The construction of a liberal international trading system through the second face of hegemony is a symbiotic process involving the preferences of the hegemon and social factions within nonhegemonic countries. For this reason,

26. Wilbur Devereux Jones, *The American Problem in British Diplomacy, 1841–1861* (London: Macmillan, 1974), p. 61.

27. Edward Stanwood, *American Tariff Controversies in the Nineteenth Century*, vol. 2 (New York: Houghton Mifflin, 1903), p. 85.

28. *Ibid.*, p. 86.

29. J. Laurence Laughlin and H. Parker Willis, *Reciprocity* (New York: Baker & Taylor, 1903), p. 30.

30. *Congressional Globe*, 4 August 1854, p. 2212. See also Laughlin and Willis, *Reciprocity*, Appendix 2, p. 473, for items included in the reciprocal treaty.

31. R. W. Thompson, *The History of Protective Tariff Laws*, 3d ed. (Chicago: R.S. Peale, 1888), p. 417.

32. Ashley, *Modern Tariff History*, p. 174.

33. *Ibid.*, p. 173.

in order to understand fully the influence of British actions on American trade policy, one must identify the strategic perceptions and needs of important social groupings in the United States, perceptions and needs that were the product of domestic conflict and divergent economic and political circumstances.

In the Jacksonian era, there were three politically relevant regional groupings. The North was predominantly protectionist and abolitionist, and the South was predominantly free trade oriented and pro-slavery. The third region, the expanding Western states, constituted the wild card. “The wheat-growing region of America”—and specifically the states of Illinois, Ohio, Indiana, and Michigan and the territories of Iowa and Wisconsin³⁴—stood in an ambiguous position vis-à-vis the other two sections on a great many issues, not the least of which was tariff policy.

Western farming interests had long left their imprint on the character of American tariff policy. In the period from 1824 to 1832, Western concern for the development of the home market had been crucial to the success of Northern protectionist legislation. Between 1833 and 1842, with the North–West coalition effectively held hostage to the threat of Southern secession and with the Southern planters unable to lure Western grain growers into their orbit on the tariff issue, policy was sublimated to considerations of sectional conciliation. Finally, the successful nurturing of emergent free trade sentiments in the West was crucial to Southern-sponsored tariff reform and the eventual passage of the Walker Tariff in 1846. In short, the future character of American economic development pivoted on the construction of an enduring coalition with Western farmers.

Henry Clay’s “American System” constituted the programmatic vision behind the tariff of 1824. The protectionist’s proposal addressed the economic needs of Western primary goods producers, envisioning a system of internal improvements and the development of a home market for the products of domestic labor. Legislative success entailed convincing farmers that a tariff on manufactured goods would stimulate demand for their products. In challenging his opponents, Clay had demanded that advocates of free trade “demonstrate that the foreign market is an adequate one for the surplus product of our labor.”³⁵ Clay was persuasive, contending that the foreign market was incapable of absorbing the American agricultural surplus in large measure “because the policy of all Europe is adverse to the reception of competing agricultural products from the United States.”³⁶ “Even Great Britain,” he continued, “to which we are its best customer, and from which we receive nearly one half in value of our whole imports, will not take from us articles of subsistence produced in our country cheaper than can be

34. Joseph Sturge, *A Visit to the United States in 1841* (Boston: Dexter S. King, 1842), p. 184.

35. Ashley, *Modern Tariff History*, p. 147n.

36. *Ibid.*

produced in Great Britain."³⁷ Barring the existence of unfettered foreign markets, the idea of an American System struck a sympathetic cord in the Western states, while to Southern planters it seemed to be "the devil's own plot brewed to enrich the West and the Northeast at the expense of the South."³⁸

Given European protectionism and, most important, the barriers placed on access to British wheat markets by the Corn Laws, the South was unable to pose a viable free trade alternative to Clay's semi-autarkic strategy for economic development. This situation was amply demonstrated by the enthusiastic support generated in the West for the "Tariff of Abominations" passed in 1828.

Southern elites calculated that an unabashed political deal with Western farmers might entice free labor agrarians to strike a more accommodative position on the issue of free trade. Indeed, a South-West coalition briefly came to fruition in the early months of the first Jackson administration (1829–33). The nascent alliance was predicated largely on a straightforward *quid pro quo* that swapped tariff liberalization for the guarantee of easy access to Western lands.³⁹ The Western vote was crucial, since congressional voting on the tariff struggles of 1829–32 invariably broke down along sectional lines.⁴⁰ But by 1832, with the Southern congressmen consistently wavering in their support of bills graduating the prices of public lands and with the foreign markets still characterized by restrictive policies on agricultural imports, the South-West coalition collapsed. In 1832, tariff rates once again ratcheted upward.

This prospective coalition between Southern and Western agriculturalists also foundered on the issue of foreign trade negotiations. Southern administration officials typically negotiated privileged access to foreign markets for the economic products of their region, "grossly neglecting the agricultural interest of the free labor sections of the North and West."⁴¹ It was long a

37. Henry Clay, "Speech of Henry Clay on American Industry in 1824," in Frank W. Taussig, ed., *State Papers and Speeches on the Tariff* (Cambridge, Mass.: Harvard University Press, 1893), p. 260.

38. Robert V. Remini, *The Election of Andrew Jackson* (Philadelphia: J.B. Lippincott, 1963), p. 16.

39. Glyndon Van Deusen, *The Jacksonian Era, 1828–1848* (New York: Harper & Row, 1959), p. 40.

40. *Ibid.*, p. 60.

41. Thomas P. Martin, "Cotton and Wheat in Anglo-American Trade and Politics, 1846 to 1852," *Journal of Southern History* 1 (August 1935), p. 295. As an example, a commercial treaty between the United States and the German Zollverein had been concluded in 1844 through the offices of the State Department, which at that time was under the direction of South Carolinian John C. Calhoun. Under the provisions of the proposed treaty, duties on German textiles and other manufactures were to be significantly reduced. In return, the Zollverein agreed to reduce tariffs on U.S. tobacco and lard and to freeze the duty on rice. Unmanufactured cotton was to be admitted on the free list (Laughlin and Willis, *Reciprocity*, pp. 8–9). The treaty was subsequently rejected in the Whig-dominated Senate by a vote of 26 to 18, ostensibly on the grounds that "the Legislature was the department by which commerce should be regulated and laws of revenue passed"; that therefore the State Department had no right to interfere in such regulations." See Eugene Schuyler, *American Diplomacy and the Furtherance of Commerce* (New York: Charles Scribners' Sons, 1886), p. 434.

source of acute irritation to Western agricultural interests that while Southern cotton, tobacco, turpentine, and rice found sizable markets in Britain, their breadstuffs continued to face barriers imposed by the Corn Laws.⁴²

As a result of the Nullification Crisis and fear of secession, the tariff, as it stood between 1833 and 1842, reflected the imperative of sectional conciliation. Yet this accommodation was itself the product of a transient equilibrium, for the broader political environment engendered considerable uncertainty. Rapid population growth on the American frontier fed the ever-growing political importance of Western states and injected substantial instability into the Jacksonian party system. In Richard P. McCormick's words, "The simple calculus of the old North *versus* South sectionalism had to be adjusted to take into consideration the claims of 'the West,' a vaguely defined but self-conscious and rapidly growing entity."⁴³ Divergent social and economic futures made both Northern manufacturers and Southern planters acutely aware that their fate was inextricably linked with how the Western states defined their interests and with the particular political form those interests took. Much of the political maneuvering of the Jacksonian era was centered precisely on this concern.

Given this political context, the passage of the 1842 "black tariff" threw the South into a panic. Not only did Southern interests shudder at the economic costs imposed by the new duties and the possibility of foreign (British) retaliation, but, more important, the bill's redistributive component threatened to recast economic and hence political power in favor of Northern manufacturers and abolitionists, throwing an ominous shadow over the South's "peculiar institution." The congressional vote on the 1842 tariff bill fell, predictably, along sectional lines,⁴⁴ with the Western states voting more than two to one for the proposed rate increases in the House.⁴⁵ The character of this Western vote was not without significance, for as Jonathan Pincus has observed, "By 1842, Western enthusiasm for protection had waned."⁴⁶ Yet, ironically, Western voting patterns did not reflect this apparent change in attitude.

The ambiguity inherent in Western trade policy preferences in the early 1840s is reflected in the divergent avenues that farmers pursued to find outlets for their surplus. Specifically, at the same time that farmers were lending their support to efforts to protect the home market, representatives of Western grain-growing interests, operating in conjunction with the British and Foreign Anti-Slavery Society and the Anti-Corn Law League, were actively lobbying for the repeal of Britain's Corn Laws. As an integral part of their

42. Thomas P. Martin, "The Upper Mississippi Valley in Anglo-American Anti-Slavery and Free Trade Relations: 1837–1842," *Mississippi Valley Historical Review* 15 (1928–29), p. 212.

43. Richard P. McCormick, *The Presidential Game: The Origins of American Presidential Politics* (Oxford: Oxford University Press, 1982), p. 165.

44. Van Deusen, *The Jacksonian Era*, p. 166.

45. See Table 1, p. 24, for the vote tally of crucial Western grain-growing states.

46. Pincus, *Pressure Groups and Politics in Antebellum Tariffs*, p. 11n.

lobbying efforts, these Western agents articulated an old argument with which they hoped to capture the attention of relevant British officials and opinion leaders. Variants of this argument circulated in Britain in pamphlets in the late 1830s and early 1840s. As set forth in one pamphlet by a “free trade missionary” from the grain state of Ohio, failure to admit American grain to the British market on the same terms as domestic agriculture would result in an American retreat into autarky, to be achieved through the conscious diversification of the home economy and the buildup of internal trade behind high tariff walls:

[I]f England, *which is the principal corn market of the world*, refuse to exchange the produce of her mills and workshops for that of the fields of the Americans, they have no other alternative than to erect mills and workshops from which to supply themselves. The effect of such a course would prove decisive on the trade with England, and go far to complete the ruin so effectually begun by the British corn law and corresponding restrictions [emphasis added].⁴⁷

The specter of a renewed Western alliance with Northern abolitionists and protectionists was a source of acute danger to Southern interests. Consequently, by the 1840s, the cotton-growing South had “rediscovered” Western interests and actively stepped up its efforts to “direct . . . free trade sentiment into channels more acceptable” to Southern interests.⁴⁸

Efforts to reconstitute a free trade coalition with the West—this time around tariff reduction and a program of internal improvements—were undertaken by Southern elites. Negotiations between the West and South were conducted at a four-day convention in Memphis in November 1845.⁴⁹ Yet, once again, much of the success of a South–West coalition hinged on the existence of exploitable overseas markets. This was the glue that could make politically tenuous ties bond. To its coalitional partner, the South argued that high domestic tariffs encouraged overseas retaliation and, conversely, a reduction of domestic rates was likely to invite reciprocity. In his treasury report for 1845, Secretary of the Treasury Robert J. Walker set out the rationale behind the Democratic proposal to lower the tariff in a manner that spoke directly to the interests of Western farmers:

The growing West in a series of years must be the greatest sufferers by the tariff, in depriving them of the foreign market and that of the cotton growing States. . . . Agriculture is our chief employment; it is best

47. Quote by John Curtis. Cited in Sturge, *Visit to the United States*, p. 189.

48. David M. Pletcher, *The Diplomacy of Annexation: Texas, Oregon and the Mexican War* (Columbia: University of Missouri Press, 1973), p. 23.

49. Chair John C. Calhoun spoke for the aspirations of those attending the convention in Memphis, declaring that “prosperity for the agricultural states is dependent on an extensive market, and that in turn depended on safe and inexpensive transportation, internal, continental, and world wide.” See Charles Wiltse, *John C. Calhoun, Sectionalist, 1840–1850* (Indianapolis: Bobs-Merrill, 1951), p. 238.

adapted to our situation; and, if not depressed by the tariff, would be the most profitable. We can raise a larger surplus of agricultural products, and a greater variety, than almost any other nation, and at cheaper rates. Remove, then, from agriculture all our restrictions, and by its own unfettered power it will break down all foreign restrictions, and, ours being removed would feed the hungry and clothe the poor of our fellow men throughout all the densely peopled nations of the world.⁵⁰

By removing “artificial” trade barriers, the United States could, through the pursuit of its comparative advantage and integration into the international division of labor, enhance not only the welfare of its own citizens but that of the rest of the world. The advent of this liberal utopia, it was argued, required only the strategic political action of a united South and West. Ultimately, however, the successful translation of free trade sentiments into sustained political commitment in the Western states depended on actions taken (or not taken) by Britain. The repeal of the Corn Laws was crucial to any successful coalitional strategy in the United States.

Repeal of the Corn Laws

Political coalitions are constructed from a series of partially overlapping interests that can be identified, compromised, and finally deployed by parties as incentives for the mobilization of electoral majorities. Coalitional possibilities are conditioned by the structure of opportunities that present themselves to each coalitional segment as it interacts with its economic and political environment. And this structure of opportunities, with its peculiar distribution of incentives, can be “massaged” and channeled in important ways—whether consciously or unconsciously—by the hegemon’s tariff policy.

In the repeal of the Corn Laws, Britain reinforced the unity and enhanced the domestic political prestige and electoral success of the coalitional possibility in the United States most conducive to its hegemonic interests.⁵¹ By removing duties on grain, Britain provided a new, foreign outlet for Western agricultural surpluses and created incentives for a free trade alliance between the South and West.

The American West had been on the minds of economic and political elites in Britain for several years. As early as 1833, parliamentary committees had concluded that railroads would soon be opening up the “great wheat growing

50. Robert J. Walker, “Report from the Secretary of the Treasury,” in Taussig, ed., *State Papers and Speeches on the Tariff*, p. 237.

51. This is not intended as a complete explanation of the repeal of the Corn Laws. We emphasize that altering Western trade preferences and the balance of political power in the United States were important motivations for repeal.

surplus areas in the West.”⁵² This was an attractive prospect for British textile manufacturers interested in recouping losses sustained in the market for coarse cloth worn by slaves, a market that had been lost to the integrated Waltham-styled mills of New England. John Benjamin Smith, president of the Manchester Chamber of Commerce, for one, realized that these losses could be more than reversed in the extensive markets developing in the North and Northwest, given the level of demand demonstrated by free labor for the finer qualities of cloth produced by British manufacturers.

Further, the extension of complementary trade would also require the construction of new railroad lines in order to link Western grain states to Eastern ports. In turn, this was contingent upon access to a quantity and quality of iron that the U.S. industry was incapable of supplying. Accordingly, facilitating trade with the Western states would stimulate growth in the more advanced technological sectors of the British economy, and this would redound to both the economic and the political interests of Britain.

British manufacturers were never passive in their desire to encourage free trade overseas. With tariff policy emerging as a prominent theme in the 1844 American presidential election, British interests were quick to become partisan. It has been suggested that British manufacturers not only “desire[d] Polk’s election, but they contributed money to that end.”⁵³ Further, reflecting a strategy better understood through the third face of hegemony, it is alleged that during the same period an organization of Manchester merchants and manufacturers raised \$100,000 “for the purpose of disseminating free trade principles throughout the world ostensibly, but throughout the United States in particular.”⁵⁴

Yet it was recognized that the most direct means of nurturing durable changes in American trade policy was to open the British market to Western agricultural products. As stated in the report of the Manchester Chamber of Commerce for 1840:

A vast population has grown up in the vast interior States of the Union, whose surplus production consists of corn and other articles of food. Their voice will go far to determine the future commercial intercourse between America and this country. If wisdom direct our proceedings, we shall adopt such a policy in regard to import duties upon the natural productions of the United States as will secure to us increasing commerce with the people of that important country.⁵⁵

The intimate relation between British tariff policy and the intersectoral investment preferences of other countries was discussed both by manufacturers and by government officials. At a special meeting of the Manchester

52. Martin, “Upper Mississippi Valley,” p. 205.

53. Albert S. Bolles, *A Financial History of the United States*, 3d ed. (New York: D. Appleton, 1891), p. 449 and 449n.

54. Ibid.

55. Martin, “Upper Mississippi Valley,” p. 209.

Chamber of Commerce in November 1839, one member of Parliament spoke on the topic of trade relations with the Prussian Commercial Union. Significantly, he "attributed the formation of that League to the refusal of [the British] government to receive the products of Germany, and entered into a great variety of details to show the effect of [Britain's] restrictive commercial policy, in raising rival manufactures on the continent."⁵⁶ During the course of the evening, several other speakers, including Richard Cobden, concurred with the analysis.

Much the same theme was struck by Cobden, this time with direct reference to the pattern of American economic development, in a free trade speech given in London on 18 June 1845. In part, Cobden, now himself a Member of Parliament, observed:

The Atlantic States of America are increasing, and consuming more and more of the corn of their interior; and we offer them no inducement to spread themselves out from the cities—to abandon their premature manufactures—in order to delve, dig, and plough for us; and they are more in a condition to consume all that they produce.⁵⁷

In short, British officials were clearly aware of the other solution to the agrarian plight being forcefully articulated by American Whigs and manufacturers, a solution that looked to the development of the home market behind a wall of protective tariffs.⁵⁸ Thus, as one Anti-Corn Law League circular suggested in late 1840, "The only way to counteract protectionist views in the United States [is] to 'raise up friends among the agriculturalists of the Western States by becoming constant customers of their grain.'"⁵⁹

The linkage between British and American trade strategy became even more evident in the 1840s. In 1842, Robert Peel pushed a minor adjustment of the Corn Laws through Parliament; although he managed to lower tariffs on many raw material imports and set a maximum duty of 20 percent on all

56. Archibald Prentice, *History of the Anti-Corn Law League* (London: W. & F.G. Cash, 1853), p. 138. British abolitionists and free traders further recognized the direct effect that discriminations in their country's tariff schedules had on the structure of political power in the United States. In a letter written in 1841 to Joseph Sturge, a Birmingham grain dealer and prominent abolitionist, Richard Cobden observed: "There are more human beings in bonds in North America than in all the rest of the *Christian* world, and we by our corn laws throw the entire power of the legislature there into the hands of the *slaveowners*." Quoted in Henry Richard, *Memoirs of Joseph Sturge* (London: Partridge & Bennett, 1864), pp. 277–78.

57. Richard Cobden, *Speeches on Free Trade* (London: Macmillan, 1903), p. 155.

58. American Whig protectionists were a main source of the argument that, under normal conditions, Western "foodstuffs could not compete with those of the Black Sea and Baltic regions." (Whigs dwelt on the contention that the British market was "unimportant and unattractive.") But Western farmers felt they *could* compete in British markets with the proper internal improvements ("cheap and rapid transportation"). As it was, "Northern canals and rivers were useless during the winter months due to ice blockage," and even under optimal conditions rapid shipments of produce were impossible. See Martin, "Cotton and Wheat in Anglo-American Trade and Politics," p. 306.

59. Martin, "Upper Mississippi Valley," p. 219.

manufactures, he could extract only minor concessions from landed interests on the corn duties. Richard Cobden, like many British free traders, was quick to blame the steep rise in American tariffs in 1842 directly on Parliament's failure to admit American grain and other agricultural products into British markets "on generous terms."⁶⁰

Yet, ironically, prices on Western produce enjoyed a moderate increase in 1842. While American Whigs directly attributed this rise to the protection afforded by their 1842 tariff, Western grain growers generally believed it to be the result of Peel's modest revision of the Corn Laws. Reflecting this belief, one Ohio newspaper, in assessing the consequence of these modifications, observed: "The British market is becoming more and more important to the free West every year. The reduction of the English tariff on several articles of Western produce has already done much in quickening industry and raising prices."⁶¹ Further, from the perspective of Western farmers, the reduction in the sliding scale of the Corn Laws in 1842, slight as it was, was important symbolically, holding out the chance that "barriers to the admission of free labor produce to the profitable British markets would soon be removed."⁶²

Most important, however, the downward revision in corn duties and the subsequent rise in prices were credited with contributing to the victory of low-tariff Democrats in the 1844 congressional elections in New York, Pennsylvania, and Ohio.⁶³ Still, British satisfaction with the outcome of the recently concluded American elections was far from complete, for Ohio, "that great wheat-growing state of the Union," had thrown its support behind the protectionist presidential candidate Henry Clay. This development was of significance to the astute British free trade newspaper *The Economist*. Reflecting on the Ohio vote the newspaper observed:

[T]he class of producers which would, under a wise state of our own laws, have the most direct interest in cultivating a free intercourse and exchange with England, show the most marked hostility to us. We open our ports to the cotton and rice of the south, and we there find every disposition to appreciate the advantages of our superior manufactures. We close our ports against the corn of the north[west], by a law which operates in a way peculiarly disadvantageous to those distant producers; and they readily join those who are more immediately interested in excluding our goods from the American market.⁶⁴

60. Pletcher, *The Diplomacy of Annexation*, p. 27; and M. M. Trumbull, *The Free Trade Struggle in England*, 2d ed. (Chicago: Open Court, 1892), p. 97.

61. Quote by the Cincinnati *Herald*, 2 April 1845. Cited in Thomas P. Martin, "Free Trade and the Oregon Question, 1842-1846," in *Facts and Factors in Economic History* (Cambridge, Mass.: Harvard University Press, 1932), p. 486n.

62. Martin, "Cotton and Wheat in Anglo-American Trade and Politics," p. 300.

63. Pletcher, *The Diplomacy of Annexation*, p. 27.

64. *The Economist*, 30 November 1844, p. 1466.

The lesson drawn by *The Economist* from the American elections was clear: “There is much in the recent contest to show that the policy of England will have an important influence on the future commercial laws of America.”⁶⁵

Very much this same theme was to be repeated eighteen months later in the debates on repeal in the British House of Commons. Significantly, in this case, the focus of discussion was broadened to include the effects of British agricultural tariffs on the general pattern of European trade policy. For example, Sir James Graham, who was Home Secretary from 1841 to 1846 and was later described by Gladstone as knowing “more of economic and trade matters . . . than the rest of the cabinet of 1841 all put together,”⁶⁶ argued before the House on 27 March 1846:

What is the consequence of [the Corn Laws]? We convert our natural and best customers, not only into commercial rivals, but into commercial enemies. When they have an abundance of corn, if the harvest has been good here also, their markets are glutted; they have a superabundant supply, and can only obtain a very low price for their grain. The ruin of the grower is then the consequence. . . . [A]nd so they come to the conclusion that, upon the whole, considering the uncertainty of our corn trade, it is one on which they can place no reliance, and are much better without it. They accordingly meet us with hostile tariffs; they impose high duties upon our manufactures; and, hitherto, they have not only relinquished our corn trade in despair, but they have regarded it as inconsistent with their national safety and welfare. . . . [T]his has appeared to me amongst the strongest reasons why the system should be altered.⁶⁷

Finally, debate in Parliament over the repeal of the Corn Laws in 1846 proceeded with the knowledge that parliamentary actions could very well affect the outcome of the pending tariff bill in the U.S. Congress. This was most clearly stated by C. Buller, on 26 March 1846:

Was there nothing in the present position of the United States which made it a fitting moment to relax our commercial policy? [The Member of Parliament] would not advert to questions of a delicate nature. He would not speak of the hostility to this country which had been expressed there, and which he did not believe was the sober sense of the people. He would not speak of the probability of diminishing the chance of war by the relaxation of our commercial policy; but he would merely advert to the fact that the question of their tariff was now under consideration—that they were debating their tariff at the same time that we were debating ours. It was stated the other night that there were many manufacturers in America, and especially in the Northern States,

65. Ibid.

66. Quoted in J. T. Ward, *Sir James Graham* (New York: St. Martin's Press, 1967), p. 209.

67. Office of the Society for the Protection of Agriculture and British Industry, *The Battle for Native Industry: The Debate upon the Corn Laws*, vol. 2, reprinted from *Hansard Parliamentary Debates, 1846* (London: George Woodfall & Son, 1846), pp. 175–76.

who are averse to any relaxation. . . . In the last election a great deal turned upon the question of the tariff; and in Congress there was a decided majority in favour of relaxation in commercial policy. There never was a moment in which it was more likely that if England relaxed her policy, she would meet with a corresponding relaxation in the United States.⁶⁸

This view of the debate over the repeal of the Corn Laws is, at first glance, at odds with the traditional historiography. Where we emphasize the importance of a "hegemonic strategy," most other scholars focus on the egoistic demands of the Manchester industrialists.⁶⁹ While it is almost always possible to find statements made by partisans which are supportive of one's theoretical presumptions, we believe that the various statements just quoted are important evidence for our position. First, they demonstrate that key advocates of repeal recognized the type of policy linkages described by the second face of hegemony. Second, whether or not these statements reflect partisan motivations, they were not issued without purpose. Rather, these arguments were raised only because of their expected effects and in an attempt to persuade uncommitted individuals and, possibly, opponents of reform.

At a more fundamental level, however, the traditional historiography and the argument developed here are in fact consistent, even complementary. British manufacturers advocated repeal of the Corn Laws for two reasons. Duty-free corn would cheapen the costs of living and thereby allow them to pay lower wages and reap higher profits. Repeal of the Corn Laws would also stimulate industrial exports. This would occur in three ways: lower wages would give British manufacturers a greater competitive edge on world markets; following the law of comparative advantage, manufacturers reasoned that repeal would increase global prosperity and, specifically, the ability of corn-producing countries to purchase British goods; and, as the statements quoted above attest, manufacturers also believed that repeal would halt and perhaps reverse the process of industrialization then occurring on the Continent and in North America. Most important, it would ensure the continued and, it was hoped, expanded dependence of these areas on imports of British manufactures. Thus, the self-interest of the Manchester industrialists was entirely consistent with the strategy we identify as central to the second face of hegemony. By stimulating a South-West free trade coalition, repeal of the Corn Laws would redound to the advantage of British exporters. If American grain farmers were the target of Britain's hegemonic strategy, Manchester industrialists were its most important advocates.

68. *Ibid.*, p. 167.

69. See, among others, Norman McCord, *The Anti-Corn Law League, 1838-1846* (London: Allen & Unwin, 1958).

Resolving the “Oregon question”

Despite the movement towards repeal of the Corn Laws, several potential obstacles awaited tariff reform in the U.S. Congress. Foremost among these obstacles was the “Oregon question.” Western farmers were rabid expansionists. Promises contained in the Democratic platform of 1844, designed to pander to this expansionist impulse, had encouraged Western states to be unyielding in their demand for the entire Oregon Territory and unilateral termination of the joint U.S.–British occupation of that territory in existence since 1818. As the territorial issue came to a head in late 1845 and early 1846, it threatened to cast a pall over the “elaborate free trade structure” anticipated with the repeal of the Corn Laws and the passage of the Walker bill, a structure that appeared to be close to consummation.⁷⁰ To ensure trade liberalization, it was necessary that the anti-British hostilities being expressed in the West as a result of the border dispute not spill over into the issue of tariff reform.

Treasury Secretary Robert J. Walker—who was responsible for managing the tariff bill in Congress—tactically delayed debate on the new tariff proposal until both a settlement to the Oregon boundary conflict was in sight and there was some indication that the repeal of the Corn Laws was imminent.⁷¹ With word in March that the House of Commons had just approved repeal by a majority of just under two hundred votes, one incentive for a more conciliatory West moved closer to fruition.

Meanwhile, Polk administration officials explicitly linked domestic tariff reform and the Oregon question in their contacts with British authorities. Walker informed the British Minister to the United States, Richard Pakenham, of the great likelihood of American tariff reductions. Leaving nothing to chance, Walker reiterated that the recent elections had provided a “clear majority” for tariff reform in the House, along with a small Democratic majority in the Senate. It was argued that U.S. tariff reform would be significantly more certain if hostilities over Oregon could be abated.

Representatives of the Polk administration insisted that settlement of the boundary dispute along the 49th parallel was critical. The proposal was one that had been suggested, with no success, by U.S. officials on three separate occasions since the beginning of the joint occupation in 1818. By acceding to the 49th parallel, Western hardliners, though furious, could be politically isolated, as the Polk government could claim to be acting within the line of precedent and present the compromise as a victory. Further, Polk was direct in telling British authorities that repeal of their Corn Laws could mollify Western anger and redirect their attention away from the touchy border

70. Wiltse, *John C. Calhoun, Sectionalist*, p. 258.

71. *Ibid.*, p. 264.

compromise and towards the tariff reform bill set to make its way through Congress.⁷² Ultimately, British Foreign Minister Lord Aberdeen notified American officials of his new instructions to propose just such a compromise, “if there was any assurance that it would be well received in the United States and if a suitable opening for renewal of negotiations could be made.”⁷³ With the dispute over the Oregon Territory resolved, an important obstacle to American tariff reform was diffused.⁷⁴

Ironically, many Whigs—traditionally pacific in their stance towards England—took the lead in demanding the whole of Oregon, arguing the necessity of counterbalancing the annexation of Texas (as a slave state) by “add[ing] to the preponderance of free soil.”⁷⁵ Yet one can imagine that the preemption of tariff reform could not have been far from their minds. The press in both countries had discussed the Oregon dispute and tariff reform as though they were inextricably interwoven. And to Whigs such as John Quincy Adams, it was apparent early on that the Oregon Territory would be “sacrificed” to bilateral tariff reform. As the former President saw it, it was “a bargain, both sides of which will be for the benefit of England, and to our disadvantage.”⁷⁶

72. The prospect for the repeal of the Corn Laws was expected to further reinforce the political momentum behind efforts to reduce U.S. tariffs by enlisting the economic self-interest of the railroads. Railroad interests were twofold. First, with repeal, “much of the produce which was formerly shipped by way of Montreal [would] now come over the Western Road to Boston.” It followed that to maximize profitability and avoid “the return of strings of ‘empties’ which ought to be carrying freight” on the return leg of the trip, the complementary extension of markets for manufactured goods was essential. (Indeed, the only Northeastern states voting for the 1846 tariff reductions were those with dominant shipping interests.) Second, railroad extension was critically tied to the availability of iron in larger quantities and at cheaper prices than protected domestic industry could supply. The tariff on railroad iron stemming from the revisions of 1842 added \$2,000 per mile to the cost of railroad construction. Consequently, the reduction of duties on iron products was essential if the railroads were to capture the commercial gains likely to result from repeal of the Corn Laws. Thus, when the Corn Laws were repealed and the Walker Tariff was a reality, it was not surprising that Louis McLane—president of the Baltimore and Ohio (B&O) Railroad and American Minister to England during this period of parallel tariff reform—resigned his post in August 1846. Staggered by the potential demand for Western breadstuffs in Britain, he returned home to push for the extension of the B&O line over the Appalachians to the Ohio River. The B&O expected to tap the extensive Western market and play a central role in moving grain between the West and the Eastern seaports. This desire was reproduced in the calculations of other railroad lines, such as the Michigan Central, the New York and Erie, and the Pennsylvania Central. Indeed, railroad mileage tripled between the years 1849 and 1856, with the bulk of the additional track put down “in the West or in lines connecting the East with the West.” The result was a “veritable race to reach the lakes and rim of the Ohio Valley.” See Martin, “Cotton and Wheat in Anglo-American Trade and Politics,” pp. 307–10.

73. Wiltse, *John C. Calhoun, Sectionalist*, pp. 258–59.

74. The final treaty on the issue of the Oregon Territory fixed the boundary at the 49th parallel and gave the British all of Vancouver Island as well as free navigation on the Columbia River “for a term of years.”

75. Wiltse, *John C. Calhoun, Sectionalist*, p. 257.

76. *Ibid.*, p. 238.

The passage of the Walker Tariff

By early April, it appeared that the Oregon conflict had been settled; and on the 14th of that same month, the Walker bill was introduced, but war with Mexico postponed discussion of the bill until the end of spring. Finally, on 15 June, the same day that official word of the repeal of the Corn Laws reached the United States and three days after the Oregon Treaty had been ratified, debate on the Walker Tariff began.

The bill moved swiftly through both houses of Congress. Comparisons of Western voting patterns in the House in 1842 and 1846 (see Table 1) reveal the shifting interests of grain growers. In 1842, Western representatives supported the tariff increases, voting 14 to 6, with 10 abstentions. Strikingly, in 1846, Western interests appear to have been turned on their head. Western representatives now supported the Walker Tariff reductions, voting 27 to 9, with 5 abstentions. Antitariff sentiments were noticeably strengthened in the

TABLE 1. *Pro-tariff and antitariff votes^a in Western grain-growing states*

	1842 vote			1846 vote		
	Pro-tariff	Anti-tariff	Abstain	Pro-tariff	Anti-tariff	Abstain
<i>House of Representatives</i>						
Western grain-growing states						
Ohio	10	4	5	7	13	1
Illinois	1	2	0	0	5	3
Indiana	2	0	5	2	6	1
Michigan	<u>1</u>	<u>0</u>	<u>0</u>	<u>0</u>	<u>3</u>	<u>0</u>
Total	14	6	10	9	27	5
All states						
Total	120	65		99	112	
<i>Senate</i>						
Western grain-growing states						
Ohio	0	2	0	1	1	0
Illinois	0	1	1	0	2	0
Indiana	2	0	0	0	2	0
Michigan	<u>1</u>	<u>1</u>	<u>0</u>	<u>1</u>	<u>1</u>	<u>0</u>
Total	3	4	1	2	6	0
All states						
Total	24	23		27	28	

^aThe numbers for both 1842 and 1846 are based on roll-call votes taken just prior to passage on motions to table the respective tariff bills. In both instances, Western votes were instrumental in blocking the tabling motions.

Source. *Congressional Globe*, 27th Congress, 2d Sess., pp. 960 and 963; and 29th Congress, 1st Sess., pp. 1158 and 1165.

Senate as well, with grain-growing representatives striking an antitariff posture by a bare majority of one in 1842 but by a majority of four in 1846.

An important and potentially powerful counterargument to the one developed in this paper is offered by students of American congressional behavior who, in analyzing the period under discussion, have given pride of place to partisan identification and party discipline as the critical determinants of legislative outcomes. Perhaps the most thorough elaboration of this theme is to be found in the work of Joel Silbey.⁷⁷ In its starkest form, this party-based argument explains the shift in the trade policy stance of Western legislators as a simple function of the influx of Democratic representatives from these wheat states. Credibility is lent to this interpretation by the dramatic shift in party representation resulting from the off-year elections of 1842, elections that resulted in the displacement of Whig dominance both in the West and in the country at large by a large Democratic majority. Further support is tendered by the knowledge that tariff reform was a major component of the Democratic presidential platform in 1844 and an important part of Polk's first State of the Union address. Lastly, and perhaps most important, there exists a striking correlation between party identification and the direction of Western votes on the tariff in both 1842 and 1846.

A remarkable degree of party cohesion in congressional voting behavior is clearly apparent from an examination of crucial issues taken up in the period between 1841 and 1852. Still more important is the party discipline seemingly evinced by Western grain state representatives on the tariff issue. Specifically, House Whigs from the free farm West rallied in support of the tariff increases of 1842, voting 14 to 0, with 6 abstentions. Regional counterparts in the Democratic party were likewise unanimous in their opposition to the increases, voting 6 to 0, with 4 abstentions. By comparison, Whigs representing the grain states in the lower chamber unequivocally opposed the 1846 tariff reductions, voting 8 to 0, with 3 abstentions. Western Democrats in the House were equally unambiguous, embracing the proposed reductions of that year with a striking vote of 27 to 1, with 2 abstentions.

Still, utilizing the evidence provided by Silbey, we are convinced that an explanation rooted in the "shrine of party" is less satisfactory in accounting for the shifting pattern of Western voting on the tariff issue between 1842 and 1846 than is an explanation premised on the changing material interests of the grain-growing states.⁷⁸ Our contention is structured around four con-

77. See Joel H. Silbey, *The Shrine of Party: Congressional Voting Behavior, 1841-1852* (Pittsburgh: University of Pittsburgh Press, 1967). Also important are Silbey's collection of essays gathered in *The Partisan Imperative: The Dynamics of American Politics Before the Civil War* (New York: Oxford University Press, 1985).

78. In addressing this counterargument, we first sought to identify Democrats from the Western states who had voted on the tariff in both 1842 and 1846 as a means of isolating their votes and highlighting the change in policy preferences. This seemed the most direct means of substantiating our thesis. This strategy proved impossible, however, as congressional turnover in these crucial Western states between the 1842 and 1846 tariff votes was virtually total, with the exception of one Whig who supported high tariffs in both years and one Democrat who voted in neither year.

stituent observations. First, at least one other scholar of the Jacksonian era, Richard P. McCormick, has recently observed that the Whig and Democratic parties were more successful in securing desired behavior from their respective mass bases than they were from members in office:

They were most effective as what can be termed electoral parties. That is, they functioned best in securing agreement on candidates, conducting campaigns, mobilizing their partisans in the electorate, and sustaining and rewarding a large and effective corps of organizers. They were less successful in articulating issues, formulating programs, and enforcing discipline on elected officials.⁷⁹

Second, the degree of party unity displayed by congressional Democrats on roll-call votes taken over the course of debate on the 1846 tariff bill provides weak support for a party discipline explanation. Indeed, on this policy issue, Silbey reports a strikingly high Democratic defection rate of one-third on average.⁸⁰ A third, and related, observation concerns the degree of discipline the Democratic party was actually able to exercise during the final vote on the Walker Tariff. In this case, the evidence reveals important deviations from party-line voting outside of the Western states. In New Jersey, the Democratic delegation was unanimous in its support of high tariffs, and a defection rate of one-third was recorded among New York Democrats. Perhaps most significant, in the iron-manufacturing state of Pennsylvania, where, not surprisingly, the Walker Tariff exhibited a high degree of salience, eleven out of twelve Democratic congressmen broke ranks with their party to vote against the proposed reductions. Similar, though far less extreme, Democratic defections occurred elsewhere across the mid-Atlantic states.⁸¹ Finally, given our claim that shifting Western interests were central to the passage of the Walker Tariff, it needs to be established that, in the event their interests were threatened, Western representatives would be willing to jettison their partisanship. Accordingly, the ability of the Democratic party to maintain discipline in these crucial grain-growing states in the face of conflicting interests needs to be assessed. Along this line, one important issue among the legislation introduced for consideration in the 28th Congress (1843–45), the question of internal improvements, was successful in derailing party unity, and as Silbey observes, in this particular case “the dissenters were the Western Democrats.”⁸² When the issue was once again taken up by Congress in 1846, the same regional patterns of defection were to be observed, as “in both House and Senate, Western Democrats tended to break with their party’s position on the issue.”⁸³ Thus, as in the case of the mid-Atlantic states, the hold of the Democratic party over Western legis-

79. McCormick, *The Presidential Game*, p. 166.

80. Silbey, *The Shrine of Party*, p. 81, Table 5.16.

81. *Ibid.*, p. 81 and p. 247, fn. 24.

82. *Ibid.*, p. 247, fn. 25.

83. *Ibid.*, pp. 75–76.

lators was marked by limits; it could be and was, when necessary, challenged.

In general, party cohesion in Congress between 1841 and 1852 was high. This is persuasively documented by Silbey. Yet when individual legislators perceived it to be in the interest of their constituents or themselves, they broke with the party position. Thus, on the basis of the evidence presented above, it is reasonable to conclude that if the interests of the wheat-growing states and the Democratic party had conflicted over the issue of tariff reductions, Western legislators would have repudiated the free trade principles embodied in the proposed Walker legislation and, on the final vote, rejected their party's position. As it was, the Western vote on the Walker Tariff reflected a congruence of Democratic party interest and regional material interest.

Conclusion: "the triumph of free trade principles"

The Walker Tariff became law on 31 July 1846. Based on the preceding discussion, it is reasonable to conclude that legislation reducing American duties could not have made its way out of Congress without the repeal of the Corn Laws. Indeed, as it was, the measure passed a deadlocked Senate only because of the vote of the Vice President. Western votes for free trade, which had not been forthcoming in the past, were central to the legislative success of the bill.

The British were in a position to encourage (or impede) passage of the Walker Tariff by the way they managed the more immediate concerns of Western grain growers. As we have seen, this involved granting access to British grain markets and dislodging the territorial dispute in Oregon from its highly salient position on the American political agenda. In tandem, the resolution of these two issues maximized the chances of Western adherence to the goal of tariff reform and laid the foundation for a South-West coalition around the free trade interests of these two great agricultural regions.

The broader impact of British policy was to promote the liberalization of the international trading system. By repealing the Corn Laws and by allowing unfettered access to its markets, Britain effectively restructured the distribution of economic incentives facing producers of raw materials and foodstuffs. Over the long term, by altering factor and sector profit rates, and hence investment patterns, Britain augmented and mobilized the political influence of the interests within nonhegemonic countries most amenable to an international division of labor premised on complementary production and the free exchange of primary goods for British manufactured goods.

We are left with the question, however, of whether or not Britain pursued a conscious strategy of hegemonic leadership through the second face. Certainly British policymakers were aware of the potential effects of repeal upon

other countries and sought to use such arguments in appeals for popular and parliamentary support. In addition, a policy of hegemonic leadership, as we have described it, is not inconsistent with the more traditional historiography on the motivations of the Manchester industrialists, the most important advocates of reform. It is impossible to discern how heavily the concerns of international economic leadership weighed on the “true” motivations of the proponents of repeal. In any event, the self-conscious acceptance of a hegemonic strategy behind repeal is not necessary for our argument to hold. Even if the Corn Laws were abolished for strictly domestic reasons and if political leaders were unaware of the impact that liberalization of the British economy would have on other countries, the actual effect on American trade policy choices would have been the same. Although we argue for a more conscious strategy, allowance is made for the possibly unwitting nature of hegemony. Readers are invited, therefore, to reconsider the repeal of the Corn Laws not as a strictly domestic policy issue but as an element of Britain’s strategy of hegemonic leadership. In doing so, we also shed new light on a central puzzle of the theory of hegemonic stability.

That Britain’s strategy, as we have described it, was not entirely successful in the American case does not count against our argument. All strategies have unintended consequences and unexpected results. By autumn of 1846, the alliance of the South and the West was in danger—“despite the triumph of free trade principles”⁸⁴—foundering on the continued resistance of Southern planters to the programmatic concerns of Western farmers, concerns that included extensive internal improvements and a policy of easy access to public lands. Longer term prospects for a South–West coalition were equally barren, as was subsequently demonstrated by repeated Democratic intransigence on issues that sought to involve the federal government in the process of economic development. This basic incompatibility between Southern planters and Western grain growers was made plain by Democratic vetoes of legislation that Western states considered decisive to their regional prosperity: internal improvement bills in 1854 and 1860 and an important homestead bill in 1859.⁸⁵ Crucially, these fundamental Western demands found their way into the Republican platform of 1860, helping to feed the “critical realignment” that marked the birth of the Civil War party system and to form the basis for the subsequent postwar North–West protectionist coalition.

Still, it is crucial to underscore that while the coalition itself ultimately proved unstable, British desires to channel Western interests into support for a more open trade policy were successfully met for almost two decades. Focusing on the linkage between the repeal of the Corn Laws and the Walker Tariff illuminates both the process by which Britain constructed a more

84. Quote by the Columbus *Ohio Statesman*, 7 August 1846. Cited in Silbey, *The Transformation of American Politics*, p. 98.

85. Silbey, *The Transformation of American Politics*, pp. 25 and 100–106.

liberal international economic order and the logic that underlay the specific character of that construction.

This “second face” strategy was of more general import than the single case of the Walker Tariff suggests. The United States and Continental Europe, and specifically the German Zollverein, were discussed in tandem in the popular and legislative debates, and the effects of repealing the Corn Laws were much the same in both regions. Moreover, since World War II, the United States appears to have adopted an analogous approach to building international economic openness. In the 1950s, the United States, against the protests of a protectionist minority at home, disproportionately reduced its tariffs on manufactured items, without demanding equivalent and reciprocal reductions abroad. This American strategy can be easily understood as an effort to tip the political balance in Europe in favor of free trade and international openness.